Recommendation 16 and its implications for cross border merchant payments

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What is FATF Recommendation 16? (The Global Travel Rule)

FATF Recommendation 16 (“Travel Rule”)

Recommendation 16 is the global standard requiring that basic identity information travels with every payment or value transfer, so authorities can trace illicit flows. As cross-border payments become increasingly digital and interoperable, the quality of participant identification becomes critical.

Core Purpose

- Ensure transparency on **who is sending or receiving money**
- Enable law enforcement to detect:
  - Money laundering
  - Terrorist financing
  - Fraud and sanctions evasion

Who it applies to

- Banks and Payment Service Providers
- Cross-border and domestic transfers
- Virtual Asset Service Providers (VASPs)

Simple Example

Without FATF R16: “10,000 RWF sent to Company X” (unclear who Company X really is)
With FATF R16 + LEI: “10,000 RWF Francs sent to Company X (LEI: 2549003NMN0MICKSAD49)”

A verified legal entity, instantly identifiable across borders.

Reference: FATF Recommendation 16 Interpretive Note updates adopted June 2025
https://thefinancialcrimenews.com/fatf-r16-from-the-travel-rule-to-payment-transparency-recent-changes-assessment-by-fcn/

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De Minimus Exemption

What is the De Minimis Exemption?

- FATF Recommendation 16 allows countries to apply simplified information requirements for certain cross-border wire transfers below a specified threshold.

The current threshold is: **USD/EUR 1,000 (or equivalent)**

- For transactions below this amount, jurisdictions may permit reduced information requirements, subject to their national regulations and risk assessments.

Implications for Cross-Border Merchant Payments

Many merchant and MSME transactions fall below the de minimis threshold, particularly:

- E-commerce purchases
- Gig economy payments
- Remittances supporting small businesses
- Low-value cross-border merchant transactions

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The Road to Implementation

A Major Modernization of Payment Transparency

In **June 2025**, FATF finalized updated Recommendation 16 standards to reflect:

- Instant payments
- Digital finance and VASPs
- ISO 20022 structured messaging
- Rising fraud as a major predicate crime

Key Enhancements

Transfers above **USD/EUR 1,000** must include stronger originator & beneficiary data:

- **Individuals:** Name + account + year of birth (if full DOB unavailable)
- **Legal entities:** Name + account + **LEI/BIC** or official identifier

What Comes Next: Guidance and Implementation Timeline

- **June 2026:** FATF launched a public consultation on draft guidance to support implementation of strengthened Recommendation 16.
- **21 August 2026:** Deadline for stakeholders to submit consultation responses.
- **Late 2026:** FATF guidance expected to support consistent implementation.
- **End of 2030:** Full implementation of revised R.16 is expected.

Reference:

FATF updates Standards on Recommendation 16 on Payment Transparency
https://www.fatf-gafi.org/en/publications/Fatfrecommendations/update-Recommendation-16-payment-transparency-june-2025

Public Consultation on Guidance to Increase Payment Transparency, 24 June 2026
https://www.fatf-gafi.org/en/publications/Fatfrecommendations/R16-Public-Consultation-June-2026

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Implications for Cross-Border Merchant Payments

Greater Transparency Requirements

Cross-border merchant payments will increasingly require:

- Consistent merchant identification
- High-quality data
- Standardized information across boarders

Increased Interoperability Needs

Cross-border ecosystems require identifiers that:

- Are globally recognized
- Can be used across multiple payment systems
- Support ISO 20022 messaging standards

Improved Compliance and Risk Management

Better merchant identification can:

- Reduce ambiguity and false positives
- Strengthen screening and monitoring
- Improve due diligence processes

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PI Workstream 30 – LEI Addressing

Purpose

- Integrate the **Legal Entity Identifier** into the Mojaloop merchant ecosystem to support:
  - Trusted merchant identification across jurisdictions
  - Domestic merchant payments
  - Cross-border merchant payments
  - MSME participation in digital payments

Why This Matters?

- Translating Global Standards into Practical Implementation

The workstream operationalizes:

FATF Recommendation 16

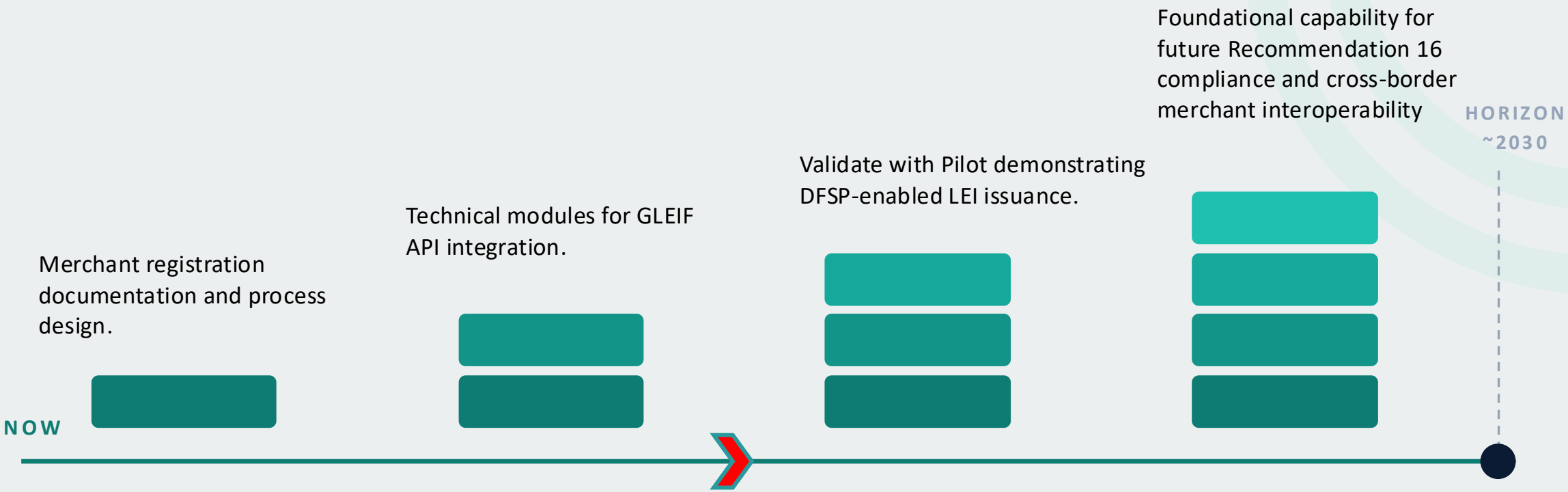
- Enhances transparency and identification of parties in payment transactions.
- Improves the quality and consistency of payment information.

CPMI ISO 20022 Data Harmonisation Recommendations

- Promotes the use of standardized identifiers in payment messages.
- Supports interoperability and straight-through processing.

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PI 30 Objectives and Expected Deliverables



Summary

The LEI Addressing Workstream is building the foundational infrastructure needed to make merchant identification more transparent, interoperable, and Recommendation 16-ready for future cross-border payment ecosystems.

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Discussion and Feedback

- What challenges do you see in identifying merchants in cross-border payments?



- Where could standardized identifiers provide the greatest value?



- What collaboration will be needed to support future adoption?



- What should this work stream prioritize next?



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Thank You



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Protecting digital trust

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